

Section : Economics

Q.1 Which system is prone to speculative attack on a currency?

1. Fixed Exchange Rate System.
2. Flexible Exchange Rate System.
3. Managed Floating system.
4. Fixed Floating System.

Options 1. 1

2. 2
3. 3
4. 4

Q.2 The existence of a large number of buyers and sellers in the perfectly competitive market means?

1. Only sellers can influence the market by their size.
2. Individual buyer or seller can influence the market by their size.
3. Each individual buyer and seller is very large compared to the size of the market.
4. Each individual buyer and seller is very small compared to the size of the market.

Options 1. 1

2. 2
3. 3
4. 4

Q.3 The book "An Enquiry into the Nature and Cause of the Wealth of Nations" was published in which of the following year.

1. 1919
2. 1775
3. 1776
4. 1936

Options 1. 1

2. 2
3. 3
4. 4

Q.4 Choose the correct statements in respect of returns to scale.

- (A) Decreasing returns to scale occur when a proportional increase in all inputs is less than output.
- (B) Constant returns to scale occur when a proportional increase in all inputs is the same as output.
- (C) In the long run, factors of production are increased by the same proportion, or factors are scaled up.
- (D) Increasing returns to scale occur when a proportional increase in all inputs is less than output.

Choose the correct answer from the options given below:

1. (A), (B) and (D) only
2. (A), (C) and (D) only
3. (A), (B), (C) and (D)
4. (B), (C) and (D) only

Options 1. 1

2. 2
3. 3
4. 4

Q.5 A market where firms can choose where to locate production and workers can choose where to work is called?

1. Output Market.
2. Labour Market.
3. Goods Market.
4. Financial Market.

Options 1. 1

2. 2

3. 3

4. 4

Q.6 An economy has to choose one of the many possibilities that it has at given resources. Therefore, the cost of an additional unit of X commodity in terms of the amount of the Y commodity that has to be forgone is called.....cost

1. Opportunity.
2. Production.
3. Total.
4. Economic.

Options 1. 1

2. 2

3. 3

4. 4

Q.7 When Government fix the minimum price of any commodity this move of government is known by:

1. Price Ceiling.
2. Price Discrimination.
3. Floor Price.
4. Price Rigidity.

Options 1. 1

2. 2

3. 3

4. 4

Q.8 A firm produces Rs 1000 worth of goods per year, Rs 200 is the value of intermediate goods used by it during the year and Rs 100 is the value of capital consumption. What is the net value of total production?

1. Rs. 1000 per year.
2. Rs. 800 per year.
3. Rs. 700 per year.
4. Rs. 100 per year.

Options 1. 1

2. 2

3. 3

4. 4

Q.9 A country in the year 2000 produced 100 units of bread at price of Rs 10 per bread. GDP at current price was Rs 1,000. In 2001 the same country produced 110 units of bread at price Rs 15 per bread. What is the GDP deflator?

1. 50 percent.
2. 150 percent.
3. 10 percent.
4. 100 percent.

Options 1. 1

2. 2

3. 3

4. 4

Q.10 Given a cash reserve ratio of 50 per cent and reserves of Rs 100, what is the money multiplier?

1. 5
2. 2
3. 20
4. 200

Options 1. 1

2. 2

3. 3

4. 4

Q.11 Identify the situation in which the equilibrium level of output is less than the full employment level of output?

1. Aggregate demand.
2. Equilibrium demand.
3. Excess demand.
4. Deficient demand.

Options 1. 1

2. 2
3. 3
4. 4

Q.12 If supply curve shifts leftward and demand curve shifts rightward then how it will affect the pricing?

1. Increase the price.
2. Decrease the price.
3. Price remain constant.
4. Price may increase or decrease.

Options 1. 1

2. 2
3. 3
4. 4

Q.13 At the positive level of output, where a firm's profit is maximized, the following conditions must hold.

- (A) $p = LRMC$
- (B) LRMC is non-decreasing at q_0
- (C) $p \leq LRAC$
- (D) $p \geq \min. LRAC$

Choose the correct answer from the options given below:

1. (A), (B) and (D) only
2. (A), (C) and (D) only
3. (A), (B), (C) and (D)
4. (B), (C) and (D) only

Options 1. 1

2. 2
3. 3
4. 4

Q.14 When $C = 70 + 0.5Y$ and $I = 40$ what is the equilibrium income?

1. 250
2. 110
3. 220
4. 150

Options 1. 1

2. 2
3. 3
4. 4

Q.15 Arrange the following statements in the context of "U" shaped SAC curve.

- (A) SAC is the sum of AVC and AFC.
- (B) SAC falls when AVC and AFC decrease.
- (C) When the fall in AFC is greater than the rise in AVC and SAC is still falling.
- (D) When a rise in AVC becomes greater than the fall in AFC, SAC rises.

Choose the correct answer from the options given below:

1. (A), (B), (C), (D)
2. (A), (C), (B), (D)
3. (B), (A), (D), (C)
4. (C), (B), (D), (A)

Options 1. 1

2. 2
3. 3
4. 4

Q.16 In the course of production, exchange and consumption of goods and services, every society has to face a scarcity of resources, and it is the scarcity of resources that gives rise to the problem of.....

1. Production.
2. Choices.
3. investment.
4. Consumption.

Options 1. 1

2. 2
3. 3
4. 4

Q.17 When is Demonetisation, a new initiative was taken by the Government of India?

1. November 2016.
2. November 2017.
3. December 2016.
4. December 2017.

Options 1. 1

2. 2
3. 3
4. 4

Q.18 The current transfers from the rest of the world such as gifts, aids, etc. are included in.....

1. National Disposable Income.
2. Private Income.
3. National debt interest.
4. Current transfers from government.

Options 1. 1

2. 2
3. 3
4. 4

Q.19 The banks are required to keep some reserves in liquid form with the central bank. What are they called?

1. Cash Reserve Ratio.
2. Statutory Liquidity Ratio.
3. Bank Rate.
4. Reverse repo.

Options 1. 1

2. 2
3. 3
4. 4

Q.20 The basic objective of macroeconomics is to develop theoretical tools. They are called.....

1. National Income.
2. Components.
3. Models.
4. Aggregate.

Options 1. 1

2. 2
3. 3
4. 4

Q.21 Choose the correct statements in the context of the law of diminishing marginal utility

- (A) States that each successive unit of a commodity provides lower marginal utility.
- (B) States that each successive unit of a commodity provides higher marginal utility.
- (C) Explains why demand curves have a negative slope.
- (D) States that the marginal utility from consuming each additional unit of a

commodity declines as its consumption increases, while keeping consumption of other commodities constant.

Choose the correct answer from the options given below:

1. (A), (B) and (D) only
2. (B), (C) and (D) only
3. (A), (B), (C) and (D)
4. (A), (C) and (D) only

Options 1. 1

2. 2

3. 3

4. 4

Q.22

Match List-I with List-II

List-I

List-II

(A) Currency + Demand Deposits + Savings deposits with Post Office savings banks

(I)
M4

(B) Currency + Demand Deposits + Net time deposits of commercial banks + Total deposits with Post Office

(II)
M2

(C) Currency + Demand Deposits

(III)
M3

(D) Currency + Demand Deposits + Net time deposits of commercial banks

(IV)
M1

Choose the correct answer from the options given below:

1. (A) - (I), (B) - (II), (C) - (III), (D) - (IV)
2. (A) - (II), (B) - (I), (C) - (IV), (D) - (III)
3. (A) - (I), (B) - (II), (C) - (IV), (D) - (III)
4. (A) - (III), (B) - (IV), (C) - (I), (D) - (II)

Options 1. 1

2. 2

3. 3

4. 4

Q.23 The issue of currency's credibility and ensuring stability in international transactions, is handled by.....

1. International Monetary System.
2. International Monetary Fund.
3. Central Bank.
4. World Bank.

Options 1. 1

2. 2

3. 3

4. 4

Q.24 Determination of income and employment of a two-sector model is done by:

- (A) Ex-ante aggregate demand for final goods.
- (B) Ex-post aggregate demand for final goods.
- (C) Fixed price of final goods.
- (D) Constant rate of interest.

Choose the correct answer from the options given below:

1. (A), (B) and (D) only
2. (A), (C) and (D) only
3. (A), (B), (C) and (D)
4. (B), (C) and (D) only

Options 1. 1

2. 2

3. 3

4. 4

Q.25 In the determination of a particular variable, the assumption of "ceteris paribus" stands for.

1. Other variables remain constant.

2. One variable remain constant.
3. Other variables remain flexible.
4. One variable remain flexible.

Options 1. 1

2. 2
3. 3
4. 4

Q.26 Which of the following states that "The marginal product of a factor input initially rises with its employment level, but after reaching a certain level of employment, it starts falling"?

1. Diminishing Returns to Scale.
2. Law of Variable Proportions.
3. Law of Diminishing Marginal Rate of Substitution.
4. Increasing Returns to Scale.

Options 1. 1

2. 2
3. 3
4. 4

Q.27 A capitalist economy can be defined as an economy in which most of the economic activities have the following characteristics.

- (A) Sale and purchase of labour services at their own price.
- (B) Sale and purchase of labour services at the wage rate.
- (C) Production takes place for selling.
- (D) Authorities may intervene to achieve an equitable distribution of the final mix of goods and services.

Choose the correct answer from the options given below:

1. (A), (C) and (D) only
2. (A), (B) and (D) only
3. (A), (B), (C) and (D)
4. (B), (C) and (D) only

Options 1. 1

2. 2
3. 3
4. 4

Q.28 Arrange the statements to define the relationship between elasticity and expenditure of a commodity.

- (A) The percentage increase in quantity demanded is greater than the percentage decline in the price.
- (B) The impact on expenditure depends on how responsive the demand for the good is to the price change.
- (C) The nature of price elasticity of demand is elastic.
- (D) Expenditure on the goods will increase.

Choose the correct answer from the options given below:

1. (A), (C), (B), (D)
2. (A), (B), (C), (D)
3. (B), (A), (D), (C)
4. (C), (B), (D), (A)

Options 1. 1

2. 2
3. 3
4. 4

Q.29 Match List-I with List-II

List-I

(A) MPS

(B) MPC

(C) APC

(D) Consumption function (C)

List-II

(I) C/Y

(II) $C^- + cY$

(III) $1 - c$

(IV) $\Delta C/\Delta Y$

Choose the correct answer from the options given below:

1. (A) - (II), (B) - (I), (C) - (III), (D) - (IV)
2. (A) - (I), (B) - (II), (C) - (III), (D) - (IV)

3. (A) - (I), (B) - (II), (C) - (IV), (D) - (III)

4. (A) - (III), (B) - (IV), (C) - (I), (D) - (II)

Options 1. 1

2. 2

3. 3

4. 4

Q.30 In the consumption equation, the slope of the consumption function is represented as:.

1. C 2. $\bar{C}$ 3. cY 4. Y

Options 1. 1

2. 2

3. 3

4. 4

Q.31 How the revelation of the fact that junk-foods might be injurious to health can affect the Demand Curve of junk-foods.

1. Lead to upward shift on demand curve.
2. Lead to downward shift on demand curve.
3. Rightward shift in demand curve of junk-foods.
4. Leftward shift in demand curve of junk-foods

Options 1. 1

2. 2

3. 3

4. 4

Q.32 At the market price of Rs 10, a firm supplies 200 units of a good. If the market price increases to Rs 30, and the price elasticity of the firm's supply is 2. Then at new price what quantity will be supplied by the firm?

1. 1200
2. 1400
3. 1000
4. 800

Options 1. 1

2. 2

3. 3

4. 4

Q.33

Match List-I with List-II

List-I

(A) Slope of Budget line

(B) Horizontal intercept of budget line

(C) Vertical intercept of budget line

(D) Budget constraints

List-II

(I) $P_1X_1 + P_2X_2 \leq M$

(II) M/P_2

(III) $-P_1/P_2$

(IV) M/P_1

Choose the correct answer from the options given below:

1. (A) - (I), (B) - (II), (C) - (III), (D) - (IV)
2. (A) - (III), (B) - (IV), (C) - (II), (D) - (I)
3. (A) - (I), (B) - (II), (C) - (IV), (D) - (III)
4. (A) - (III), (B) - (IV), (C) - (I), (D) - (II)

Options 1. 1

2. 2

3. 3

4. 4

Q.34 Arrange the statements in sequence of GDP composition on the expenditure side as per the annual report, Reserve Bank of India.

- (A) Gross Domestic Investment.
- (B) Private Final Consumption Expenditure.
- (C) Government Final Consumption Expenditure.
- (D) Net Exports.

Choose the correct answer from the options given below:

1. (B), (C), (A), (D)
2. (A), (B), (C), (D)
3. (B), (A), (D), (C)
4. (C), (B), (D), (A)

Options 1. 1

2. 2
3. 3
4. 4

Q.35 When a government action increases the exchange rate, by making the domestic currency cheaper, it is called.....

1. Depreciation.
2. Devaluation.
3. Revaluation.
4. Appreciation.

Options 1. 1

2. 2
3. 3
4. 4

Q.36 Which initiatives strengthened the government's resolution to go cashless.

- (A) Jan Dhan accounts.
- (B) Aadhar enabled payment systems.
- (C) E-Wallets.
- (D) National financial Switch.

Choose the correct answer from the options given below:

1. (A), (B) and (D) only
2. (A), (C) and (D) only
3. (A), (B), (C) and (D)
4. (B), (C) and (D) only

Options 1. 1

2. 2
3. 3
4. 4

Q.37 There are two goods that are priced at Rs 5 each and are available only in integral units. If a consumer has Rs 20, then the bundle that this consumer can afford to buy is:

1. (3,3)
2. (4,5)
3. (1,3)
4. (5,4)

Options 1. 1

2. 2
3. 3
4. 4

Q.38 Arrange the following statement in the context of the effect of an autonomous change in aggregate demand on income and output.

- (A) When autonomous investment increases, the aggregate demand shifts in parallel upwards.
- (B) Equilibrium level of income depends on aggregate demand.
- (C) Excess demand emerges in the economy.
- (D) The output will be greater than the original output.

Choose the correct answer from the options given below:

1. (B), (A), (C), (D)
2. (A), (B), (C), (D)
3. (B), (A), (D), (C)
4. (C), (B), (D), (A)

Options 1. 1

2. 2
3. 3
4. 4

Q.39 Arrange the given statement in terms of determining the exchange rate through a floating /flexible exchange rate.

- (A) Depreciation of domestic currency in terms of foreign currency.
- (B) The demand curve shifts upward and right to the original demand curve.
- (C) The demand for foreign goods and services increases.
- (D) The increase in demand for foreign goods and services result in a change in the exchange rate.

Choose the correct answer from the options given below:

- 1. (B), (A), (C), (D)
- 2. (A), (B), (C), (D)
- 3. (B), (A), (D), (C)
- 4. (C), (B), (D), (A)

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.40 Match List-I with List-II

List-I

- (A) Not pass through any more stages of production or transformations
- (B) Consumed when purchased by their ultimate consumers
- (C) Gradually undergo wear and tear
- (D) Used by other producers as material inputs

List-II

- (I) Capital goods
- (II) Intermediate goods
- (III) Final goods
- (IV) Consumption goods

Choose the correct answer from the options given below:

- 1. (A) - (I), (B) - (II), (C) - (III), (D) - (IV)
- 2. (A) - (II), (B) - (I), (C) - (III), (D) - (IV)
- 3. (A) - (I), (B) - (II), (C) - (IV), (D) - (III)
- 4. (A) - (III), (B) - (IV), (C) - (I), (D) - (II)

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.41 Read the passage carefully and answer the questions based on the passage:

Short run Costs

In the short run, some of the factors of production cannot be varied. The cost that a firm incurs to employ fixed inputs is called the total fixed cost. Whatever amount of output the firm produces, this cost remains fixed for the firm. To produce any required level of output, the firm, in the short run, can adjust only variable inputs. Accordingly, the cost that a firm incurs to employ these variable inputs is called the total variable cost. Adding the fixed and the variable costs, we get the total cost of a firm. In order to increase the production of output, the firm must employ more of the variable inputs. As a result, the total variable cost and total cost will increase. Therefore, as output increases, the total variable cost and total cost increase. Marginal cost is the increase in total variable cost due to an increase in production of one extra unit of output. For any level of output, the sum of marginal costs up to that level gives us the total variable cost at that level.

In the short run, some of the factors of production of a firm.....

- 1. Flexible.
- 2. Remain Constant.
- 3. Increases.
- 4. Decreases.

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.42 Read the passage carefully and answer the questions based on the passage:

Short run Costs

In the short run, some of the factors of production cannot be varied. The cost that a firm incurs to employ fixed inputs is called the total fixed cost. Whatever amount of output the firm produces, this cost remains fixed for the firm. To produce any required level of output, the firm, in the short run, can adjust only variable inputs. Accordingly, the cost that a firm incurs to employ these variable inputs is called the total variable cost. Adding the fixed and the variable costs, we get the total cost of a firm. In order to increase the production of output, the firm must employ more of the variable inputs. As a result, the total variable cost and total cost will increase. Therefore, as output increases, the total variable cost and total cost increase. Marginal cost is the increase in total variable cost due to an increase in production of one extra unit of output. For any level of output, the sum of marginal costs up to that level gives us the total variable cost at that level.

The total cost is equal to Rs.95 for 7 units of output and Rs.115 for 8 units of output. What is the marginal cost at the quantity of 8th unit?

1. Rs.15
2. Rs.10
3. Rs.20
4. Rs.25

Options 1. 1

2. 2
3. 3
4. 4

Q.43 Read the passage carefully and answer the questions based on the passage:

Short run Costs

In the short run, some of the factors of production cannot be varied. The cost that a firm incurs to employ fixed inputs is called the total fixed cost. Whatever amount of output the firm produces, this cost remains fixed for the firm. To produce any required level of output, the firm, in the short run, can adjust only variable inputs. Accordingly, the cost that a firm incurs to employ these variable inputs is called the total variable cost. Adding the fixed and the variable costs, we get the total cost of a firm. In order to increase the production of output, the firm must employ more of the variable inputs. As a result, the total variable cost and total cost will increase. Therefore, as output increases, the total variable cost and total cost increase. Marginal cost is the increase in total variable cost due to an increase in production of one extra unit of output. For any level of output, the sum of marginal costs up to that level gives us the total variable cost at that level.

An increase in production of one extra unit of output will lead to an increase in

1. Marginal Cost.
2. Total Fixed Cost.
3. Total Variable Cost.
4. Average Cost.

Options 1. 1

2. 2
3. 3
4. 4

Q.44 Read the passage carefully and answer the questions based on the passage:

Short run Costs

In the short run, some of the factors of production cannot be varied. The cost that a firm incurs to employ fixed inputs is called the total fixed cost. Whatever amount of output the firm produces, this cost remains fixed for the firm. To produce any required level of output, the firm, in the short run, can adjust only variable inputs. Accordingly, the cost that a firm incurs to employ these variable inputs is called the total variable cost. Adding the fixed and the variable costs, we get the total cost of a firm. In order to increase the production of output, the firm must employ more of the variable inputs. As a result, the total variable cost and total cost will increase. Therefore, as output increases, the total variable cost and total

cost increase. Marginal cost is the increase in total variable cost due to an increase in production of one extra unit of output. For any level of output, the sum of marginal costs up to that level gives us the total variable cost at that level.

When the output is zero in the short run, Which of the following costs are undefined?

1. AVC, AFC and MC.
2. AFC and TC.
3. VC and MC.
4. TC and FC.

Options 1. 1

2. 2

3. 3

4. 4

Q.45 Read the passage carefully and answer the questions based on the passage:

Short run Costs

In the short run, some of the factors of production cannot be varied. The cost that a firm incurs to employ fixed inputs is called the total fixed cost. Whatever amount of output the firm produces, this cost remains fixed for the firm. To produce any required level of output, the firm, in the short run, can adjust only variable inputs. Accordingly, the cost that a firm incurs to employ these variable inputs is called the total variable cost. Adding the fixed and the variable costs, we get the total cost of a firm. In order to increase the production of output, the firm must employ more of the variable inputs. As a result, the total variable cost and total cost will increase. Therefore, as output increases, the total variable cost and total cost increase. Marginal cost is the increase in total variable cost due to an increase in production of one extra unit of output. For any level of output, the sum of marginal costs up to that level gives us the total variable cost at that level.

The firm must employ more of the variable inputs, in order to increase the production of output. Therefore, as output increases.....

1. Total Variable Cost and Total Cost increase.
2. Total Variable Cost and Total Cost decrease.
3. Total Variable Cost decrease and Total Cost increase.
4. Total Variable Cost increase and Total Cost decrease.

Options 1. 1

2. 2

3. 3

4. 4

Q.46 Read the passage carefully and answer the questions based on the passage:

GST: One Nation, One Tax, One Market

Goods and Service Tax (GST) is the single comprehensive indirect tax, operational from 2017, on supply of goods and services, right from the manufacturer/ service provider to the consumer. It is a destination based consumption tax with facility of Input Tax Credit in the supply chain. It is applicable throughout the country with one rate for one type of goods/service. It has amalgamated a large number of Central and State taxes and cesses. It has replaced large number of taxes on goods and services levied on production/ sale of goods or provision of service. Under GST, the tax is discharged at every stage of supply and the credit of tax paid at the previous stage is available for set off at the next stage of supply of goods and/or services. It has replaced various types of taxes/cesses, levied by the Central and State/UT Governments. Under GST, there are six standard rates applied on supply of all goods and/or services across the country. The 101th Constitution Amendment Act introduced Article 246A in the Constitution cross empowering Parliament and Legislatures of States to make laws with reference to Goods and Service Tax imposed by the Union and the States. GST has simplified the multiplicity of taxes, facilitated freedom of movement, created a common market in the country, standardized laws, procedures and rates of taxes across the country, aimed at reducing the cost of business operations and cascading effect of various taxes on consumers. It has also reduced the overall cost of production, which will make Indian products/services more competitive in the domestic and international markets.

Which one attracts both GST and Central Excise Duty?

1. Alcoholic liquor.
2. Tobacco and tobacco products.
3. Petroleum products.
4. Lottery/Betting/ Gambling.

Options 1. 1

2. 2
3. 3
4. 4

Q.47 Read the passage carefully and answer the questions based on the passage:

GST: One Nation, One Tax, One Market

Goods and Service Tax (GST) is the single comprehensive indirect tax, operational from 2017, on supply of goods and services, right from the manufacturer/ service provider to the consumer. It is a destination based consumption tax with facility of Input Tax Credit in the supply chain. It is applicable throughout the country with one rate for one type of goods/service. It has amalgamated a large number of Central and State taxes and cesses. It has replaced large number of taxes on goods and services levied on production/ sale of goods or provision of service. Under GST, the tax is discharged at every stage of supply and the credit of tax paid at the previous stage is available for set off at the next stage of supply of goods and/or services. It has replaced various types of taxes/cesses, levied by the Central and State/UT Governments. Under GST, there are six standard rates applied on supply of all goods and/or services across the country. The 101th Constitution Amendment Act introduced Article 246A in the Constitution cross empowering Parliament and Legislatures of States to make laws with reference to Goods and Service Tax imposed by the Union and the States. GST has simplified the multiplicity of taxes, facilitated freedom of movement, created a common market in the country, standardized laws, procedures and rates of taxes across the country, aimed at reducing the cost of business operations and cascading effect of various taxes on consumers. It has also reduced the overall cost of production, which will make Indian products/services more competitive in the domestic and international markets.

Goods and Service Tax, the single comprehensive indirect tax on all goods and services, extends the principle of one of the following

1. Central Sales Taxation.
2. Central Excise Duty.
3. Value-added taxation.
4. Sales Taxation.

Options 1. 1

2. 2
3. 3
4. 4

Q.48 Read the passage carefully and answer the questions based on the passage:

GST: One Nation, One Tax, One Market

Goods and Service Tax (GST) is the single comprehensive indirect tax, operational from 2017, on supply of goods and services, right from the manufacturer/ service provider to the consumer. It is a destination based consumption tax with facility of Input Tax Credit in the supply chain. It is applicable throughout the country with one rate for one type of goods/service. It has amalgamated a large number of Central and State taxes and cesses. It has replaced large number of taxes on goods and services levied on production/ sale of goods or provision of service. Under GST, the tax is discharged at every stage of supply and the credit of tax paid at the previous stage is available for set off at the next stage of supply of goods and/or services. It has replaced various types of taxes/cesses, levied by the Central and State/UT Governments. Under GST, there are six standard rates applied on supply of all goods and/or services across the country. The 101th Constitution Amendment Act introduced Article 246A in the Constitution cross empowering Parliament and Legislatures of States to make laws with reference to Goods and Service Tax imposed by the Union and the States. GST has simplified the multiplicity of taxes, facilitated freedom of movement, created a common market in the country, standardized laws, procedures and rates of taxes across the country,

aimed at reducing the cost of business operations and cascading effect of various taxes on consumers. It has also reduced the overall cost of production, which will make Indian products/services more competitive in the domestic and international markets.

The standard rate which is applied to the supply of goods and/or services across the country under the GST.

1. 18 percent.
2. 15 percent.
3. 13 percent.
4. 11 percent.

Options 1. 1

2. 2
3. 3
4. 4

Q.49 Read the passage carefully and answer the questions based on the passage:

GST: One Nation, One Tax, One Market

Goods and Service Tax (GST) is the single comprehensive indirect tax, operational from 2017, on supply of goods and services, right from the manufacturer/ service provider to the consumer. It is a destination based consumption tax with facility of Input Tax Credit in the supply chain. It is applicable throughout the country with one rate for one type of goods/service. It has amalgamated a large number of Central and State taxes and cesses. It has replaced large number of taxes on goods and services levied on production/ sale of goods or provision of service. Under GST, the tax is discharged at every stage of supply and the credit of tax paid at the previous stage is available for set off at the next stage of supply of goods and/or services. It has replaced various types of taxes/cesses, levied by the Central and State/UT Governments. Under GST, there are six standard rates applied on supply of all goods and/or services across the country. The 101th Constitution Amendment Act introduced Article 246A in the Constitution cross empowering Parliament and Legislatures of States to make laws with reference to Goods and Service Tax imposed by the Union and the States. GST has simplified the multiplicity of taxes, facilitated freedom of movement, created a common market in the country, standardized laws, procedures and rates of taxes across the country, aimed at reducing the cost of business operations and cascading effect of various taxes on consumers. It has also reduced the overall cost of production, which will make Indian products/services more competitive in the domestic and international markets.

The month in which the Goods and Services Tax became operational.

1. May
2. June
3. July
4. August

Options 1. 1

2. 2
3. 3
4. 4

Q.50 Read the passage carefully and answer the questions based on the passage:

GST: One Nation, One Tax, One Market

Goods and Service Tax (GST) is the single comprehensive indirect tax, operational from 2017, on supply of goods and services, right from the manufacturer/ service provider to the consumer. It is a destination based consumption tax with facility of Input Tax Credit in the supply chain. It is applicable throughout the country with one rate for one type of goods/service. It has amalgamated a large number of Central and State taxes and cesses. It has replaced large number of taxes on goods and services levied on production/ sale of goods or provision of service. Under GST, the tax is discharged at every stage of supply and the credit of tax paid at the previous stage is available for set off at the next stage of supply of goods and/or services. It has replaced various types of taxes/cesses, levied by the Central and State/UT Governments. Under GST, there are six standard rates applied on supply of all goods and/or services across the country. The 101th Constitution Amendment Act introduced Article 246A in the Constitution cross empowering Parliament and Legislatures of States

to make laws with reference to Goods and Service Tax imposed by the Union and the States. GST has simplified the multiplicity of taxes, facilitated freedom of movement, created a common market in the country, standardized laws, procedures and rates of taxes across the country, aimed at reducing the cost of business operations and cascading effect of various taxes on consumers. It has also reduced the overall cost of production, which will make Indian products/services more competitive in the domestic and international markets.

Under Article 246A, which was not enacted for GST?

1. Central Goods and Service Tax Act.
2. Integrated Goods and Service Tax Act.
3. States Goods and Service Tax Act.
4. Regional Goods and Service Tax.

Options 1. 1

2. 2

3. 3

4. 4